SUMMARY · MK 5 DECISION MAKING & NEGOTIATION · WEEK 4

Alternative-Focused vs Value-Focused Thinking

Most people think from available alternatives (AFT). Keeney's Value-Focused Thinking starts from values and objectives, then creates better alternatives. Smart Choices (PrOACT), fundamental vs means objectives, hierarchies and means-ends networks, attributes and constructed scales — with your syndicate's Nuka Raya electricity case.

Material

1 Smart Choices and the role of objectives

PrOACT: Problem, Objectives, Alternatives, Consequences, Trade-offs (+ uncertainty, risk tolerance, linked decisions). An objective has a context, an object and a direction of preference. Thinking about values creates alternatives, uncovers hidden objectives, guides information and strategy.

2 AFT vs VFT

AFT starts from available alternatives (reactive, "decision problem"); VFT starts from values (proactive, "decision opportunity"). Elicit values with wish lists, best/worst alternatives, problems, consequences, goals and others' perspectives.

3 AFT vs VFT: where alternatives come from Deep dive

AFT

Options → criteria → least bad.

vs

VFT

Values → criteria → create options → evaluate.

4 Objective hierarchies, means-ends networks, attributes

Fundamental objectives (why it matters) form hierarchies; means objectives (how) form means-ends networks. Measure with natural, proxy or constructed attributes. Repair vs replace: VFT surfaces safety, reliability, total cost and creates new options (leasing, certified used, mixed transport).

5 Attributes: natural, proxy and constructed Deep dive

Type	Example
Natural	Hours of supply; IDR/kWh; tCO_2e
Proxy	Cold-storage units installed
Constructed	Customary acceptance 0–4

Repair vs replace
VFT reveals new options such as ride-hailing plus weekend rental.

6 Nuka Raya in numbers and a hierarchy Deep dive

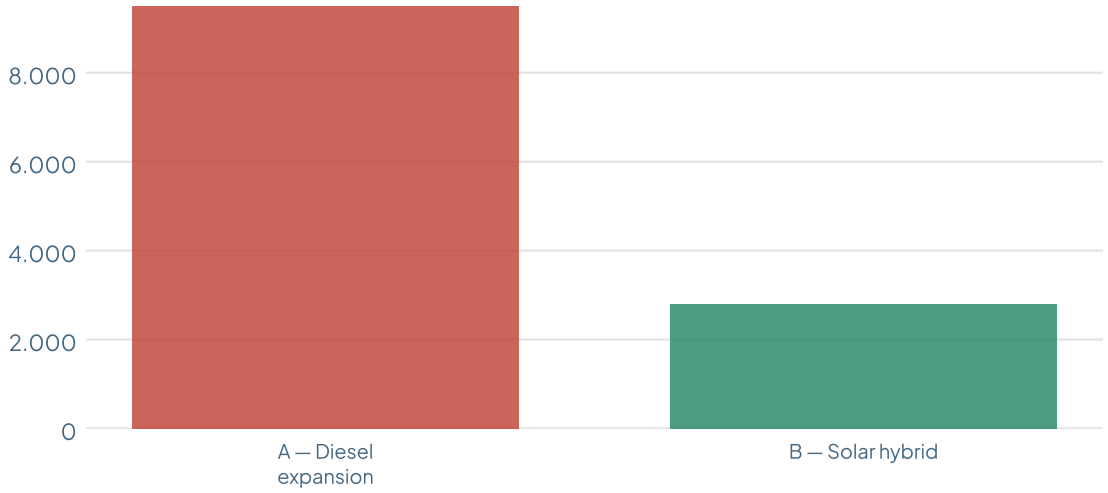
IDR 6,200
Current cost per kWh

12 h
Supply per day

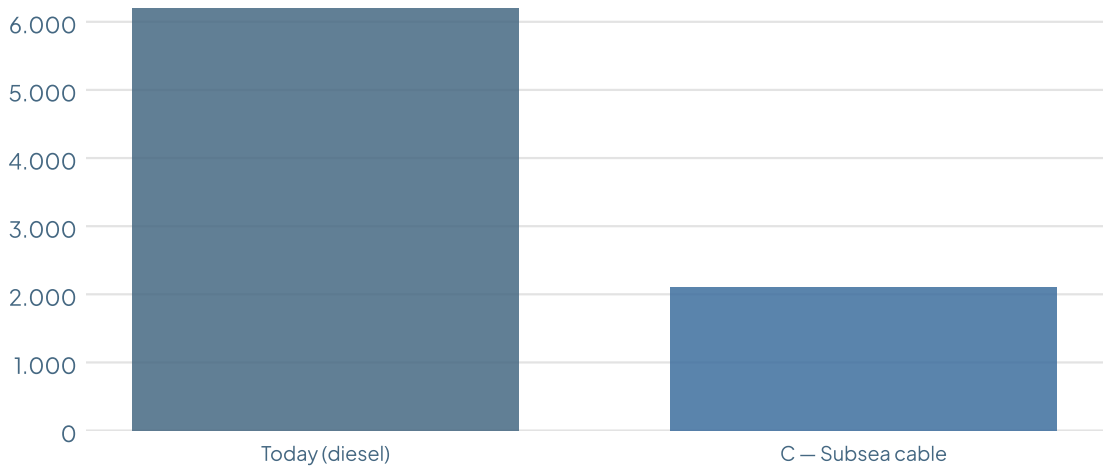
~40%
Unserved households

2
Technicians

Annual emissions: diesel vs solar hybrid (tCO_2e)



Cost of supply (IDR/kWh)



The cable is cheapest per kWh but costs ~IDR 310bn and takes 48 months; diesel ~45bn, 12 months.

VFT allows a hybrid: staged solar + battery with co-op ownership, diesel as night back-up, the cable reassessed later.

Key takeaways

1. AFT chooses; VFT creates.
2. Reframe problems as opportunities.
3. Fundamental vs means.
4. Hierarchies vs networks.
5. Natural, proxy, constructed attributes.
6. The best option is often not on the first list.

Case studies

Case & worked answers

Your syndicate: electricity for Nuka Raya (PT EKN)

EKN framed the choice as A (diesel), B (solar hybrid) or C (subsea cable) — AFT. Your syndicate reframed it as a decision opportunity, elicited values from every stakeholder, built a fundamental hierarchy (financial sustainability, socio-economic reliability, environment) and means network (ice makers, solar hybrid, customary consultation, clinic solar kits, co-financing), a constructed scale for customary acceptance, and three new alternatives. Recommendation: integrated solar-hybrid ecosystem (~IDR 85bn co-financed), BPP to ~IDR 3,500/kWh, −68% emissions, 100% electrification by 2027. Tip: reconcile the BPP figures.

Practice questions

Try answering first. The answer key is below each question.

1. VFT frames a decision as a…

A. Decision problem
B. Decision opportunity
C. Situation appraisal
D. Satisficing

Answer: B. Proactive.

---

2. To test if an objective is fundamental, ask…

A. Cost?
B. Why is it important? — until 'it just is'
C. Who agrees?
D. When?

Answer: B. Means objectives serve others.

---

3. A 0–4 'customary acceptance' scale is…

A. Natural
B. Proxy
C. Constructed
D. Fundamental

Answer: C. Built where no standard exists.

---

4. Keeney's components of an objective…

A. Context, object, direction
B. Cost, time, quality
C. Must, want, risk
D. IS, IS NOT

Answer: A. e.g. minimise operating cost.

---

5. The 'T' in PrOACT stands for…

A. Time
B. Trade-offs
C. Targets
D. Trend

Answer: B. PrOACT.

Sources

- [Student] 04 Alternative and Value-Focused Thinking (MK5)
- Keeney, Value-Focused Thinking (ebook)
- Hammond, Keeney & Raiffa, Smart Choices
- MK 5 Class E Syndicate 3 Pre Assignment Week 4 (tugas kelompokmu)